connect

1. Award: 0.62 points

Which of the following is not a characteristic of the balance sheet?

- The balance sheet reports the change in financial position.
- The balance sheet provides information useful in assessing liquidity.
- The major classifications of the balance sheet are assets, liabilities, and owners' equity.
- Assets generally are listed in order of their liquidity.

The balance sheet reports a company's financial position on a particular date, unlike the income statement that reports events that occurred during a period of time.

References

Multiple Choice	Learning Objective: 03-01 Describe the purpose of the balance sheet and understand its usefulness and limitations.

2. Award: **0.62 points**

Which of the following explains why a company's book value as reported in the balance sheet may not equal the company's market value?

1. Many assets are measured at their historical cost rather than amounts for which the assets could be sold.
2. Many valuable resources of the company are not directly reported as assets in the balance sheet.
3. Investors do not use the balance sheet to judge a company's value.

- 3.
- 1.
- 1,2, and 3.
- → 1 and 2.

Many assets (such as land, buildings, and equipment) often are measured at historical cost. Many of the company's valuable resources (such as trained employees, experienced management team, loyal customer relationships, and product knowledge) are not directly reported as an asset in the balance sheet. Despite these limitations, the balance sheet provides useful information to investors on the company's liquidity and long-term solvency.

References

Multiple Choice	Learning Objective: 03-01 Describe the purpose of the balance sheet and understand its usefulness and limitations.

3. Award: **0.62 points**

The basis used to classify assets as *current* or *long-term* is:

- Whether the asset is currently used in the company's operations.
- Whether an asset is monetary or nonmonetary.
- → Usually one year, because the operating cycle typically is less than one year.
- The operating cycle or one year, whichever is shorter.

The determination of current versus long-term assets is based on whether the asset is expected to be converted to cash or consumed within the coming year, or within the normal operating cycle of the business if that's longer than one year.

References

Multiple Choice	Learning Objective: 03-02 Identify and describe the various asset classifications.

4. Award: 0.62 points

Which of the following provides the best explanation for why accounts receivable are normally classified as current assets in the balance sheet?

- Because these amounts usually are small relative to total assets.
- Because these amounts arise from normal operations.
- → Because these amounts typically will be collected within one year.
- All of these answer choices are incorrect.

The determination of current versus long-term assets is based on whether the asset is expected to be converted to cash or consumed within the coming year, or within the normal operating cycle of the business if that's longer than one year. Accounts receivable usually are collected (converted to cash) within 30 to 60 days.

References

Multiple Choice	Learning Objective: 03-02 Identify and describe the various asset classifications.

5. Award: **0.62 points**

The net amount of property, plant, and equipment reported in the balance sheet generally is equal to:

- The assets' original costs minus their depreciation in the current year only.
- → The assets' original costs minus their accumulated depreciation since purchased.
- The assets' current fair value.
- The assets' original costs.

The net amount of property, plant, and equipment reported in the balance sheet generally equals the assets' original cost minus their accumulated depreciation. Accumulated depreciation represents depreciation for all years since the assets were purchased up to the current year.

References

Multiple Choice	Learning Objective: 03-02 Identify and describe the various asset classifications.

6. Award: **0.62 points**

Long-lived assets used in the operations of the business refer to property, plant, and equipment, and:

- Receivables.
- → Intangible assets.
- Inventories.
- Investments.

Receivables and inventories are generally classified as current assets. Investments are assets that are not used directly in the operations of the business. Intangible assets are used in the operations of the business and provide long-term benefits, but have no physical substances (such as patents, franchises, trademarks, and copyrights).

References

Multiple Choice	Learning Objective: 03-02 Identify and describe the various asset classifications.

7. Award: **0.62 points**

Which of the following is an intangible asset reported in the balance sheet?

- The exclusive right to use a franchisor's trademark or tradename.
- Land that is being held for future company expansion.
- Natural resources such as mineral mines.
- Investments in equity securities of another company.

Franchises are contractual arrangements under which a franchisor grants the franchisee the exclusive right to use the franchisor's trademark or tradename and certain product rights. The cost of such arrangements is reported as an intangible asset. Land held for future expansion and investments in equity securities are classified as long-term investments, and natural resources would be included as part of property, plant, and equipment.

References

Multiple Choice	Learning Objective: 03-02 Identify and describe the various asset classifications.

8. Award: **0.62 points**

An item not generally classified as a *current asset* is a:

- Trade receivables.
- → Patent.
- Inventories.
- Prepaid rent.

Patents offer an exclusive 20-year right to manufacture a product or use a process. Within the next year, trade receivables are generally collected, inventories are generally sold, and prepaid rent generally expires, so these items are generally classified as current assets.

References

Multiple Choice	Learning Objective: 03-02 Identify and describe the various asset classifications.

9. Award: **0.62 points**

Included in the category of *current assets* would be:

- the portion of long-term equipment expected to be depreciated over the next year.
- cash restricted for the purpose of repaying debt in three years.
- → investment in debt securities that mature in five years but which management intends to sell within one year.
- the portion of a long-term operating lease that will be used over the next year.

Current assets include cash and other assets that are reasonably expected to be converted to cash or consumed within one year from the balance sheet date, or within the normal operating cycle of the business if that's longer than one year. Investments that the company has the ability and intent to sell within one year (or operating cycle, if longer) are reported as current assets.

References

Multiple Choice	Learning Objective: 03-03 Identify and describe the various liability and shareholders' equity classifications.

10. Award: **0.62 points**

Which of the following items represents cash received from customers for goods or services to be provided in a future period?

- → Deferred revenues.
- Accounts payable.
- Accounts receivable.
- Current maturities of long-term debt.

Deferred revenues represent cash received from customers for goods or services to be provided in a future period. For example, a company records deferred revenue when it sells a gift card. The company is obligated to provide goods and services when the gift card is redeemed in a future period.

References

Multiple Choice	Learning Objective: 03-03 Identify and describe the various liability and shareholders' equity classifications.

11.

Award: **0.62 points**

The ending balance of retained earnings can best be described as:

- The amount of dividends paid over the life of the company.
- → The amount of net income over the life of the company not paid to owners in the form of dividends.
- The amount of net income over the life of the company.
- The amount of cash received from stockholders over the life of the company.

Retained earnings represents the accumulated net income reported by a company since its inception minus all dividends distributed to shareholders. In other words, it's the accumulated lifetime profits a company has earned for its shareholders but has not yet distributed to those shareholders.

References

Multiple Choice	Learning Objective: 03-03 Identify and describe the various liability and shareholders' equity classifications.

12.

Award: **0.62 points**

The ending balance of retained earnings increased by $3.2 million from the beginning of the year. The company declared a dividend of $1.3 million during the year. What was the amount of net income during the year?

- → $4.5 million.
- $1.3 million.
- $3.2 million.
- $1.9 million.

Increase in retained earnings ($3.2 million) = net income − dividends ($1.3 million). Net income = $3.2 million + $1.3 million = $4.5 million.

References

Multiple Choice	Learning Objective: 03-03 Identify and describe the various liability and shareholders' equity classifications.

13.

Award: **0.62 points**

The section of a company's annual report that provides management's views on significant events, trends and uncertainties pertaining to the company's operations, liquidity, and capital resources is:

- → ○ Management's Discussion and Analysis.
- ○ Summary of Significant Accounting Policies.
- ○ Compensation of Directors and Top Executives.
- ○ Management's Responsibilities.

The management's discussion and analysis (MD&A) section may embody management's biased perspective, but it can offer an informed insight that might not be available elsewhere.

References

Multiple Choice	Learning Objective: 03-05 Describe disclosures related to management's discussion and analysis, responsibilities, and compensation.

14. Award: 0.62 points

The compensation of directors and top executives is disclosed in:

- A disclosure note.
- Interim financial statements.
- The annual report.
- → The proxy statement.

The Securities and Exchange Commission (SEC) requires disclosure of compensation to directors and executives in a proxy statement sent each year to all shareholders.

References

Multiple Choice	Learning Objective: 03-05 Describe disclosures related to management's discussion and analysis, responsibilities, and compensation.

15. Award: 0.62 points

Current assets minus current liabilities equals:

- Cash equivalents.
- Net assets.
- The current ratio.
- → Working capital.

Working capital = current assets − current liabilities.

References

Multiple Choice	Learning Objective: 03-08 Identify and calculate the common liquidity and solvency ratios used to assess risk.

16. Award: **0.70 points**

A company's liquidity most often refers to:

- The ability of a company to respond to the changing needs of its customers and employees.
- → The ability of a company to convert its assets to cash to pay its current obligations.
- The ability of a company to withstand various events and circumstances that might impair its ability to earn profits.
- The assessment of whether a company will be able to pay all its liabilities, including both current and long-term.

By examining a company's liquidity, we can obtain a general idea of a company's ability to pay its short-term debts as they come due.

References

Multiple Choice	Learning Objective: 03-08 Identify and calculate the common liquidity and solvency ratios used to assess risk.